

Subject Description Form

Subject Code	AF4229
Subject Title	Tax Planning and China Tax
Credit Value	3
Level	4
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	Pre-requisite: Hong Kong Tax Framework (AF3210)
Role and Purposes	This subject contributes to the achievement of the BBA (Hons) Outcomes by enabling students to <u>communicate effectively in both verbal and written English</u> (Outcomes 1), <u>demonstrate a global outlook and an understanding of cultural diversity in the context of taxation environment</u> (Outcome 2), <u>apply critical and creative thinking</u> (Outcome 3), <u>apply tax principles and practices in strategic planning and thinking</u> and to <u>have sufficient tax related professional skills and knowledge</u> . (Outcome 14).
Subject Learning Outcomes	Upon completion of the subject, students will be able to: <u>apply advanced aspects of the corporate and individual tax laws, rules and practices</u> in the Hong Kong context for strategic tax planning opportunities and decisions on cross-border transactions and investment structures; <u>explain the impact of changes in tax laws, practices and tax cases</u> on business transactions, organizations and individuals with particular reference to Hong Kong situation; <u>analyze various types of structure of business transactions</u> for individual and foreign-invested entities operating business in the mainland China and <u>evaluate their tax implications</u>; and <u>formulate and carry out</u> basic China tax planning ideas and strategies in relation to individual and business transactions in order to minimize their explicit tax liabilities or enhance their tax efficiency and effectiveness.
Subject Synopsis/ Indicative Syllabus	Taxation of Inbound and Outbound Investments Concept of permanent establishment. Forms of investments. Non-residents persons. Equity versus loan financing. Withholding taxes on investment income and profit repatriation. Double taxation reliefs. Tax treaty. Tax incentives. Exchange of information. Scope of charge, assessment, exemptions and tax planning opportunities of Hong Kong stamp duty. Strategic Corporate Tax Planning – Principles, Practices and Anti-avoidance Provisions Basic tax planning principles and mitigation strategies. Tax avoidance devices: re-invoicing, transfer pricing, tax haven companies, treaty shopping, use of holding companies. Thin capitalization rules. Controlled foreign corporation rules. Based Erosion and Profit Shifting. General and special anti-avoidance provisions. Transfer pricing rules. Overview of PRC Taxation System and Tax Administration

	Current tax structure and types of tax. Structure of PRC tax laws and regulations. Structure of PRC tax administrative system. China Income Taxes and Anti-avoidance Provisions Corporate income tax: Scope of charge. Assessment and exemptions. Applicable tax rates. Preferential tax treatments. Tax incentives. Tax holidays. Anti-avoidance provisions. Transfer pricing rules and defense pricing strategies. Individual Income tax: Scope of charge. Applicable tax rates. Taxable income and deductions. Exemption and reliefs. China Value-added Tax Scope of charge. Types of Taxpayers. Applicable tax rates. Input credit. Export refund. Double Taxation Arrangement Application of double taxation arrangement/agreement between Hong Kong and its major trading partners.							
Teaching/Learning Methodology	The three hours of seminar per week will be used flexibly by the lecturer for discussing key concepts and their applications with students and carrying out other learning activities with them. To maximize benefits, students are encouraged to share their views and experiences actively with their lecturers and other classmates.							
Assessment Methods in Alignment with Intended Learning Outcomes								
	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d		
	Continuous Assessment	50%						
	1. Group presentation	10%	√	√	√	√		
	2. Class participation	5%	√	√	√	√		
	3. Class Quizzes	10%	√	√	√	√		
	4. Individual assignment	25%	√	√	√	√		
	Final Examination	50%	√	√	√	√		
	Total	100 %						
Student Study Effort Expected	Class contact:							
	▪ Seminars				39 Hrs.			
	Other student study effort:							
	▪ Self-study				70 Hrs.			
	▪ Group discussion & preparation				26 Hrs.			
	Total student study effort				135 Hrs.			
Reading List and References	Textbook(s) King and Wood Mallesons, <i>China Master Tax Guide</i>, latest edition, Wolters Kluwer (HK). Sue Cuthbertson and Belinda Ka Yin Law, <i>International Tax Law and Practice</i>, latest edition, Wolters Kluwer (HK).							

	Wong, P. and Wong, J., <i>Taxation in Hong Kong: A Practical Guide 2024/25</i>, 10th edition (2023), Wolters Kluwer (HK). <i>Ordinance(s)</i> Inland Revenue Ordinance (Chapter 112) and Inland Revenue Rules, Revised Edition and Amendments, Hong Kong Special Administrative Region Government Stamp Duty Ordinance (Chapter 117), Revised Edition and Amendments, Hong Kong Special Administrative Region Government <i>Useful Websites:</i> China Tax- State Taxation Administration: http://www.chinatax.gov.cn Hong Kong Tax- Inland Revenue Department: http://www.ird.gov.hk International Tax- OECD: http://www.oecd.org/tax/
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